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Rewiring Global Finance in an Age of Economic Statecraft

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Welcome to the NER's special feature report on Rewiring Global Finance, where we examine the strategic recalibration of financial systems across regions and sectors. In an era marked by geopolitical fragmentation, rising protectionism, and accelerated technological change, the institutions and frameworks that once underpinned international capital flows are increasingly being redefined.

From the increasing assertiveness of BRICS+ de-dollarisation efforts in the wake of the reserve currency's decline, to the governance challenges posed by artificial intelligence and novel technologies, this collection explores how financial policy is being shaped across regions, as much by politics as by markets.

We trace the vulnerabilities of South Asian economies amid dollar dependency and external shocks. We evaluate South Africa's ongoing struggle for financial credibility in light of FATF greylisting. We analyse Italy's contested banking consolidation drive, where questions of sovereignty and state intervention remain unresolved. And we revisit the UK–EU financial relationship post-Brexit, as the logic of equivalence replaces the once-seamless passporting regime.

Together, these essays offer a panoramic view of global finance in flux, revealing how currency strategy, regulatory autonomy, and institutional control are emerging as key battlegrounds in an era of economic statecraft.

As debates around these key economic issues abound, it is clear that the global financial order is being reimagined. Whether through regional frameworks or transnational experimentation, the future of finance will be defined by its ability to respond to polycrises without sacrificing the resilience, transparency, and dyanmism that has underpinned the sector.

As a result, this report is both an analytical exercise and a statement of intent. As student thinkers, we believe serious engagement with financial systems is vital to understanding the levers of global power, and to evaluate alternatives. Rewiring Global Finance is our contribution to that effort: grounded, critical, and comprehensive.

We hope that the arguments put forward in this report inform, provoke, and invite deeper thinking about our financial futures ahead.

With best regards,



Talha Haroon

About the NER

The Nottingham Economic Review is a student-led journal dedicated to advancing economic discourse through rigorous and thought-provoking analysis. We publish high-quality reports and articles alongside contributions from academics and industry professionals, fostering a dialogue between emerging and established voices. Our editorial team aims to curate content that engages a diverse readership and amplifies student analysis.





Post-Brexit Disequivalence and the Costs of Divergence

Layla Macharia

The UK's exit from the EU fundamentally reshaped the landscape for financial services. As part of the Single Market, the UK had previously benefited from the free movement of goods, services, and capital in a framework crucial for the operation of the financial sector. Under the "passporting" system, financial firms could operate across EU member states without needing separate authorisation in each country, facilitating high volumes of cross-border transactions (Pennesi, 2020). Post-Brexit, however, this seamless access has been replaced by a more limited and discretionary system of "equivalence", a shift that has led to a more fragmented market.

With the relationship between the UK and the EU on path for a reset, both sides are seeking to improve cooperation and reduce friction in financial services (Hall, 2025). This article explores the potential outlook for this evolving relationship, examining the regulatory, economic, and geopolitical tensions shaping post-Brexit financial cooperation.

Equivalence Explained: A Fragile Framework

Equivalence refers to the EU granting market access to third-country firms if their regulatory regime is deemed sufficiently aligned with EU standards (European Commission, 2021). This mechanism facilitates cross-border investment by enabling EU-listed firms to access UK capital markets and vice versa, through mutual recognition of regulatory standards.

Since this agreement is deemed unilateral, the EU Commission retains the authority to revoke equivalence at any time. A key trigger for this would be significant regulatory divergence in the UK that undermines financial stability or consumer protection (Pennesi, 2020). Initially, such divergence was largely passive, reflecting the UK's gradual drift away from EU standards without formal contradiction. However, the introduction of the UK's Financial Services and Markets Act 2023 (FSMA) marked a shift towards active divergence, allowing UK regulators to introduce frameworks that explicitly depart from EU rules.

For example, the FSMA enables the Financial Conduct Authority (FCA) to impose bespoke requirements on firms issuing crypto assets or stablecoins, particularly around transparency and safeguarding – areas where UK regulation may now differ markedly from EU approaches. While this regulatory flexibility may boost domestic innovation and competition, it simultaneously introduces legal and operational uncertainty for firms seeking access to the EU market under equivalence. This tension between national autonomy and cross-border market access is increasingly evident across sectors such as digital finance, green

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taxonomy, and insurance, where UK reforms are reshaping the post-Brexit regulatory landscape.

Who Pays the Price?

This shift has led to tangible losses, not only in the FinTech sector, but also across wholesale banking and capital markets. An estimated 19% drop in UK financial services exports to the EU post-Brexit Brexit can mostly be attributed to the loss of passporting rights (Shalchi, 2020). In its absence, firms face greater regulatory friction, as they must comply with overlapping UK and EU regimes, driving up compliance costs, which in turn creates fragmented oversight and increases legal uncertainty, particularly in trading and clearing where jurisdictional boundaries are most sensitive.

These burdens have driven up costs and reduced competitiveness, prompting 44% of major firms to relocate staff or functions to the EU (EY, 2022). UK asset managers must now establish EU-domiciled entities to serve EU clients, while investment firms have lost their MiFID passports, limiting their ability to operate across borders. The only area of retained equivalence is clearing through CCPs, temporarily extended to mid-2028 (European Commission, 2025), but this also underscores how limited financial cooperation has become.

Politicisation of Regulation

Financial shifts in the UK-EU landscape are often driven by the policies of major global powers, most notably the United States. The renewed sense of urgency in UK-EU financial cooperation is underlined by the current unpredictability of US policy.

> **Without a clear and lasting resolution, both the UK and the EU risk increasing vulnerabilities, especially as global geopolitical tensions rise**

While recent US actions have focused more on trade than financial services, the resulting transatlantic volatility has highlighted the need for the UK and EU to reinforce their own economic and regulatory ties. This has commenced through channels such as the Joint Regulatory Forum, which offers a structured platform for mutual understanding of regulatory priorities and risks, with a clear emphasis on technical coordination and reliance on international frameworks like Basel III to promote consistency.

However, the Forum remains largely consultative and lacks enforcement authority over politically sensitive issues like equivalence and market access, which limits its ability to resolve fundamental divergences. Incorporating clearer timelines and binding agreements could help provide greater certainty for market participants and support more substantive progress.

Looking ahead, the UK–EU reset has made some initial progress, but much remains to be done. Dynamic alignment between the UK and EU regulatory frameworks could pave the way for improved cooperation, benefiting firms capable of navigating this evolving environment (Hall, 2025).

However, unlike the UK, the US already enjoys over 18 equivalence decisions with the EU, a status unlikely to change given the current geopolitical landscape. This highlights the significant hurdles the UK faces in gaining similar access. Without a clear and lasting resolution, both the UK and the EU risk increasing vulnerability, especially as global geopolitical tensions rise.

Scenarios and Strategic Trade-Offs

Initial fears that the EU might use financial equivalence as a post-Brexit geopolitical tool, for example, by forcing euro clearing activities to relocate within the bloc, have given way to pragmatism. While equivalence remains a vital tool, the likelihood of it being used defensively in the short term appears low.

It is also important to recognise that the UK–EU financial relationship cannot simply be compared to the EU's arrangements with the likes of Switzerland or the US.

While Switzerland benefits from detailed bilateral agreements granting it partial Single Market access across many sectors, the UK's relationship is governed mainly by the broader Trade and Cooperation Agreement, offering a more limited and less sector-specific framework (Smith, 2024). Neither of those cases involved a departure from the Single Market, and neither faced the level of disentanglement in operations that Brexit triggered. This makes the UK's third-country status particularly difficult to navigate.

Since Brexit, the UK economy has experienced slower growth compared to pre-referendum forecasts (by about 2-3%), with GDP lagging behind both earlier projections and EU peers. This underperformance has been linked to reduced trade, declining investment, and friction in labour and supply chains (National Institute of Economic and Social Research, 2023). While the EU has also faced adjustment costs, the impact has been significantly one-sided for the UK.

What Lies Ahead?

The current UK-EU regulatory relationship is suboptimal for both countries' growth prospects, with the financial services sector bearing the brunt of the consequences. Without a solution, both sides risk strategic and economic losses.

However, in the near future, a model of dynamic convergence that is potentially facilitated by the Joint Regulatory Forum, could be a way forward as an acknowledgement of mutual interdependence. Whether this path is pursued depends on how each side weighs up the benefits of cooperation against the desire to maintain competitive advantages.

Ultimately, without progress, continued divergence may increase friction, raising costs and fragmentation across financial markets. Conversely, effective convergence could support stability and growth for both parties.

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Dollar Dependency and Currency Risk in South Asian Nations

Talha Ali Madni

The global financial system is dominated by the United States dollar (USD). Since the end of World War II, the dollar has significantly influenced the international economic structure and has become the global currency of choice for foreign reserves. The Global South, and in particular developing countries like Sri Lanka and Pakistan, depend heavily on USD availability for the functioning of their economies and participation in the global financial system. However, this dependency on USD also makes both Colombo and Islamabad vulnerable to sovereign currency risk. This dependence manifests in trade, foreign debts, and reserves exposing them to external shocks.

Therefore, these governments, in addition to shoring up their USD reserves, are weary of over-reliance on a single economy. Geopolitical shifts via the emergence of China and international organizations like BRICS provide these countries with an opportunity to reduce their dependence on the dollar.

USD Dominance in the Global Financial System

The USD remains the world's most dominant currency, accounting for nearly 57% of global foreign exchange reserves, 54% of export invoicing, and 88% of foreign exchange transactions (Dollar Dominance Monitor). It owes its dominance to the post-World War II international financial architecture, enacted at Bretton Woods. The architecture, composed of multilateral banks and international settlement organisations, provide global financial stability, pegging participating countries' currencies to the USD, which in itself was pegged against gold (The Reign of the U.S. Dollar: Exploring its Past, Present, and Future). This effectively positioned the USD as the global reserve currency.

However, in 1971, President Nixon replaced the gold standard with a floating exchange rate, bringing an end to the Bretton Woods arrangement. However, it did not end dollar dominance. As the world's largest economy and stable government, the greenback still provided confidence to investors and governments.

Dollar Dependency and Currency Risk

Dollar dependency refers to a country's systemic reliance on the USD for participation in the global economy, either through international trade, loans, investment, or currency reserves accumulation. It may result in what is termed as sovereign currency risk, arising from exposure of a government's financial position to adverse movements in exchange rates. When a country's debt is primarily denominated in a foreign currency, such as the USD, any local currency devaluation increases debt servicing costs, occasionally resulting in

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defaults. In the case of developing countries with limited foreign exchange earnings, the risk is amplified.

Evidence from Sri Lanka

Sri Lanka, a South Asian island nation of over 22 million people, is a textbook example of dollar dependency and currency risks. In 2022, Colombo defaulted on its obligation, owing nearly $59 billion in external debt, of which over 58% was denominated in USD (Jones & Hameiri). Furthermore, its foreign exchange income channels were steeped in the USD.

For instance, exports to the US constituted nearly one-fifth of its total exports, or USD 2.93 billion out of a total of USD 13.5 billion exports. In addition, it relied on its tourism industry for steady dollar inflows that traditionally accounted for the third-largest foreign exchange earning industry for Sri Lanka (Sri Lanka Country Commercial Guide). After years of running fiscal deficits, and due to dwindling tourism revenues during the COVID-19 pandemic, Sri Lanka's reserves depleted rapidly from USD 7.6 billion in 2019 to USD 1.9 billion in 2022 (International Reserves in Sri Lanka), prompting the government to default on its obligations.

Apart from these domestic factors of the default, two exogenous determinants exacerbated Sri Lanka's crisis: commodity prices and global interest rates. In 2022, global commodity prices for agricultural products and oil skyrocketed primarily because of the war in Ukraine, passing on inflationary pressures to Sri Lanka's domestic economy, which was already struggling to generate

> "A compendium of vulnerabilities illustrates the currency risk embedded in dollar dependency."

USD. During that year, it spent nearly USD 5 billion on hydrocarbon imports against a total of USD 19.7 billion imports.

Similarly, revisions to the US Federal Reserve's policy rate negatively impacted Sri Lanka's economic health. Between January 2022 and December 2022, the Federal Reserve increased the policy rate by 425 basis points (United States Fed Funds Interest Rate), increasing the cost of servicing dollar-denominated debt. In Sri Lanka, it resulted in historically high interest rates and currency mismatches, leading to a reduction in revenues in Sri Lankan rupees while servicing debt in dollars – the depreciation of the rupee skyrocketed leading to a widening debt burden (Artesta et al.).

Resultantly, the country defaulted, and its economy went into a free fall. Its gross domestic product (GDP) shrank by 7.3 percent (Sanders), causing GDP per capita to reduce to USD 3,342 in 2022 from USD 3,997 in 2021 (GDP per capita (current US$).

Evidence from Pakistan

Pakistan, a country of nearly 250 million people, is also another case of USD dependency, which remains vulnerable to severe currency risks. It relies heavily on dollar inflows to sustain its economy, which frequently runs current and capital account deficits. It runs external debt of over USD 130 billion, of which a major chunk is denominated in USD.

Moreover, the US is Pakistan's largest export destination, bringing USD 4.95 billion of USD 35.9 billion exports – vital for running Pakistan's import-

led economy. Given that the country's imports far exceed its exports, these dollar inflows are crucial for financing the trade imbalance. However, this dependency also introduces vulnerabilities: any slowdown in U.S. demand or shift in U.S. trade policy can directly impact Pakistan's foreign exchange reserves and balance of payments position.

This compendium of vulnerabilities illustrates the currency risk embedded in dollar dependency. When the value of the rupee falls, the cost of repaying external obligations, including sovereign bonds and private sector loans, increases significantly. This, in turn, leads to higher inflation, weaker investor confidence, and the possibility of a full-blown balance of payments crisis.

Recommendations

To mitigate their USD dependency and any currency crisis in the future, both countries must diversify their export markets and climb up the value-addition ladder, all while boosting economic production. More generally, South Asian nations should invest in fostering regional trading relationships, including exploring regional currency options. Though the region is not yet ready to move towards a common currency (Regmi et al.), in the long term, these countries may consider transitioning towards this step, which would reduce their dependency on the USD.

Furthermore, with geopolitical flux via the ascendance of China and its provision of financial alternatives taking hold, emerging economies have an opportunity to de-dollarize their economy.

Conclusion

Sri Lanka and Pakistan both present case studies from Global South about the dangers of excessive USD dependency and its associated currency risks. To ensure financial stability, these countries must diversify their trading partners, cut down on dollar-denominated debt, and look for alternatives financial systems that promote diversification and facilitate local currency settlements in both regional and international trade.

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Italian Finance in Flux: Sovereignty, Mergers, and Market Resilience

Gregor Davies

Italy, the centre of cultural capital and the heartland of European civilisation, is now undergoing a controversial revolution within its banking sector. It's a nation storied in financial history, from the argentarii of ancient Rome through to the modern day – credit, cash and consumption have stoked the economy of this peninsula, all whilst being marred by the shadow of corruption and political interference. Now in the 21st century, the financial powerhouse must determine its financial future, and confront government involvement in the sector.

Sovereignty at Stake

Following the financial turbulence of the 2010s, Italy was left burdened by credit crunches, fragile capital buffers, and a Mediterranean debt crisis. With the European Central Bank maintaining a firm presence across the sector, the Meloni administration's current push to consolidate the banking landscape has reignited debate over financial sovereignty – particularly in the realm of merger and acquisition decisions.

At the heart of this debate lies a growing divergence between Rome and Brussels. For the Italian government, the priority lies in asserting financial sovereignty and delivering on Meloni's domestic agenda. "We're dwarves, and we'll never seriously compete with the U.S.," admitted one Italian regulatory official – a remark that underscores Rome's emphasis on internal stability over global stature.

In contrast, Brussels remains focused on enhancing the EU's competitiveness on the global stage, a goal that demands a supranational vision of the financial sector. For European policymakers, the 'C-word' – competitiveness – reflects a pressing concern that, across nearly every metric, U.S. financial institutions continue to outperform their European counterparts.

Beyond the Banking Duopoly

The Italian banking sector is highly concentrated, with two major banks, Intesa Sanpaolo and UniCredit, dominating the landscape. The Italian government has proposed the creation of a third major bank through the merger of smaller players, aiming to foster greater competition and expand consumer choice. The move is intended to counterbalance the effects of a quasi-duopoly in a sector often marked by significant information asymmetries. But does the market warrant this third contender, and does it come at a cost?

A third bank could serve as a vessel for investment and industrial strategy implementation across the south of Italy. Italy is a nation of Small and Medium-sized enterprises (SME): 78% of the workers in Italy are employed by SMEs, and unlike

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larger businesses, they rely on loans as opposed to equity or venture capital deals to fund their businesses. This is foremost among the reasons for a third major bank, a counterweight to the risk aversion of UniCredit and San Paolo. However, whether creating a third major bank is the right solution remains uncertain. While the rationale exists, the challenge lies in the unattractiveness of a SME focused bank such as Monte dei Paschi di Siena (MPS) – a key merger candidate.

In January, Mediobanca decisively rejected a proposed deal, citing MPS' weak balance sheet and limited strategic alignment. MPS' core business – focused on retail and SME lending, particularly in southern Italy where over 70% of its clients are located – clashes with Mediobanca's emphasis on high-margin sectors like investment banking and wealth management.

Reports suggest that the government-led consolidation could be finalised at a cost of €13.3 billion (Grant, 2025), a move with potentially far-reaching implications: it could either catalyse wider sector consolidation or stall ongoing negotiations altogether.

The Politicisation of Finance

In Italy, where economic decisions are often shaped by nationalist sentiment, banks are viewed as strategic national assets. Foreign acquisitions – such as Crédit Agricole's increasing stake in Italian institutions – are frequently perceived as threats to sovereignty and domestic control. Against this backdrop, the Caltagirone family, among the country's wealthiest, has expanded its holdings in Monte dei Paschi di Siena (MPS), a move broadly aligned with the Meloni administration's agenda. Francesco Gaetano Caltagirone also owns Il Messaggero, a major right-leaning newspaper that has consistently echoed the government's "Italy First" messaging.

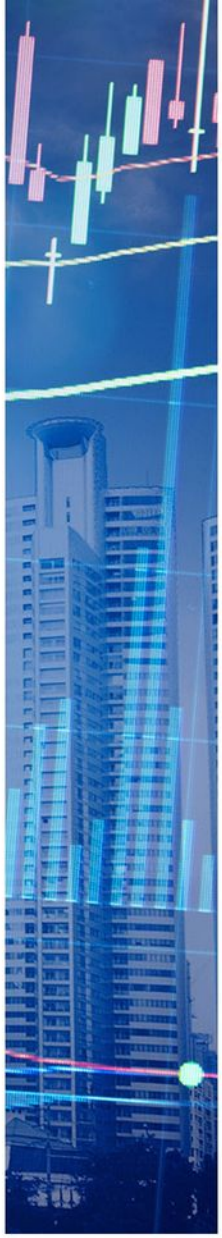
> "When political agendas begin to override market logic and profitability, the risks to long term resilience increase"

The Fine Line: Oversight and Intervention

Italy must proceed with caution as it navigates the future of its financial sector. When political agendas begin to override market logic and profitability, the risks to long-term resilience increase significantly. Within the broader European landscape, Italy's banking system offers a dynamic example of what financial consolidation could achieve if fragmentation is pre-empted and market forces are allowed to operate freely.

While ensuring financial stability remains a legitimate national priority, it is equally crucial for the government to maintain a clear boundary between strategic oversight and direct intervention. Ultimately, restoring trust in the market's capacity to deliver efficiency is essential to safeguarding Italy's financial pedigree.

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Digital Sovereignty: Effects of AI on Financial Governance

Helena Oprandi

Digital sovereignty has emerged as a key concept that defines a state's authority over its digital infrastructure, data, and economic systems. It is especially important in financial governance where digital technologies, notably artificial intelligence (AI), are deeply integrated into markets and regulatory frameworks.

The European Union (EU) has made digital sovereignty a central focus in its regulatory efforts, aiming to protect national and regional autonomy amid technological advancements. Understanding the influence of AI on this landscape involves analyzing both the technological changes and the legal-political strategies designed to maintain control over digital assets.

AI in finance involves integrating data, algorithms, and computational power to replicate human decision-making. While recognized as a strategic asset for sovereignty and competitiveness, Europe's limited tech industry restricts how AI is deployed in finance, leading to reliance on imported systems and standards.

As a result, in the EU, digital sovereignty aligns closely with the broader aim of "strategic autonomy," a term traditionally linked to military and security elements but now expanded to include control over digital infrastructure and data independent of foreign technology powers.

Despite its frequent use, the term lacks a consistent definition and is often equated with technological sovereignty, which reflects a normative goal to reduce dependency on non-European digital intermediaries and assert influence over global digital governance.

Digital Sovereignty in the Financial Context

Originally linked to internet governance, digital sovereignty now significantly overlaps with economic and financial governance. While sovereignty traditionally implied territorial control; in the digital era, it encompasses authority over data flows, infrastructure, and communication networks.

Governments increasingly seek to maintain control over financial data, fintech innovations, and cross-border digital services that might otherwise weaken their regulatory power. The rise of powerful transnational digital platforms, which delimit national institutions' autonomy, makes digital sovereignty a critical concept in modern economic governance.

In financial governance, digital sovereignty is not just about technological independence but also about exercising control over infrastructure and services that operate beyond national borders. Internally, it relates to a state's ability to create and enforce its own rules; externally, it

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it means resisting domination by foreign powers or corporations.

These challenges are especially pronounced in financial systems where AI-driven trading, real-time data flows, and cross-border payments complicate jurisdictional authority. The EU's dependency on foreign technology firms for cloud services, data storage, and infrastructure cotrol over core components, data, and hardware, means that the EU risks losing influence in financial governance.

The Role and Risks of AI in Financial Systems

AI is now a fundamental part of financial infrastructure, supporting applications like fraud detection, algorithmic trading, risk assessment, and client profiling. The EU acknowledges AI's dual nature: it can improve efficiency and accuracy but also creates risks such as lack of transparency and systemic vulnerabilities.

Dependence on AI systems developed outside Europe raises concerns about data security, regulatory compliance, and democratic oversight. This dependency weakens democratic control and regulatory enforcement, making the buildup of AI infrastructure aligned with European values and governance standards crucial.

Fundamentally, AI integration disrupts traditional regulatory frameworks since new systems often operate autonomously and across borders, reducing the effectiveness of state control. The growing influence of private corporations developing AI complicates public sector governance, demanding innovative legal and policy tools to safeguard democratic principles and financial integrity. Due to this, traditional regulations struggle to keep pace with rapid AI-driven innovation in finance, where opacity in AI decision-making undermines accountability.

However, regulatory approaches are shifting from reactive to anticipatory, seeking to predict and mitigate AI risks before they arise. The EU's recent efforts in digital finance and AI regulation illustrate this proactive stance. Nevertheless, the EU's strategy focuses on regulation rather than technological innovation, relying on its "Brussels Effect" to set global standards. This approach gives the EU regulatory power but not technological leadership, resulting in ongoing dependence on foreign AI infrastructure and tools, which weakens the EU's control over financial governance.

Geopolitical Dimensions

The dominance of global tech giants has reshaped power dynamics, positioning these corporations as quasi-sovereign actors controlling data and digital infrastructure beyond nation-states. This "platform capitalism" influences market access, communication, and financial ecosystems, driving European states to assert digital sovereignty to protect their economies and promote fair competition. European projects like Gaia-X aim to regain control over critical infrastructure and reduce dependency on foreign providers.

Digital sovereignty is deeply geopolitical, especially given the US-China stronghold in AI and technology infrastructure. Their control extends to global financial systems, challenging the EU's aspirations for autonomy. The EU's lack of indigenous fi-

> "Digital sovereignty is deeply geopolitical, especially given the US-China stronghold in AI and technology infrastructure"

nancial and technological platforms makes it vulnerable to external strategic interests.

Policy Responses and Governance Strategies

In response to these challenges to regional sovereignty, the EU has introduced a range of policy instruments aimed at reclaiming control over digital financial technologies. Regulations such as the Digital Finance Package, Markets in Crypto-Assets Regulation, and the proposed EU AI Act are designed to strengthen regulatory oversight. Complementary initiatives like European cloud certification schemes strive to build sovereign infrastructure and reduce reliance on non-European providers.

These efforts signal a shift toward value-driven governance, emphasizing democratic accountability, transparency, and user autonomy. The EU's strategy in this vein blends technical regulation with broader ethical and political goals, attempting to position the region as a leader in digital finance governance through regulation as opposed to technological dominance.

Conclusion: Balancing Sovereignty, Innovation, and Ethics

The relationship between digital sovereignty and AI in financial governance presents a complex web of challenges. As AI transforms financial systems, it is set to upend the regulatory authority of states and supranational bodies like the EU. Consequently, there is a pressing need for governance frameworks that safeguard democratic control, affirm regulatory effectiveness, and imbue geopolitical resilience while supporting innovation.

Future policies must balance fostering technological progress with protecting sovereignty and ethical standards, so that they ensuring AI-driven financial systems serve public interests without undermining autonomy or democratic values.

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Greylists and Growth: South Africa's Struggle for Financial Credibility

Caleigh Plaatjes

In February 2023, South Africa was greylisted by the Financial Action Task Force (FATF) for its failure to comply with international standards around the prevention of money laundering, terrorist financing and proliferation financing. Following this, South Africa's National Treasury has urgently strived to rid itself of the label, given the country's history of state capture and weakened institutional legal capacity. While Croatia, Mali, and Tanzania celebrated their removal from the FATF grey list in June 2025, South Africa remains among the countries under 'increased monitoring' for money laundering and terrorist financing deficiencies.

For a country that positions itself as Africa's financial hub, the grey list designation represents more than regulatory inconvenience – it is a direct challenge to the economic sovereignty and overall international standing of the nation. This report provides a brief analysis into the impact of the FATF's greylisting designation on South Africa and the country's progress since then.

Background to Greylisting: What is the FATF?

The FATF is an independent, inter-governmental organisation established in 1989 by the Group of 7 (G7). The FATF is tasked with a mandate to "develop and promote policies and set international standards relating to the combating of money laundering, terrorist financing and the financing of the proliferation of weapons of mass destruction" (Gillmar et al, 2025). Operating almost as a financial watchdog, the FATF establishes the global standards surrounding financial compliance, anti-money laundering and global counter-terrorism finance. In addition to promoting these standards, the FATF also provides technical assistance and conducts member evaluations to ensure that countries maintain their compliance with the organisation's recommendations (Booth et al, 2025).

The FATF maintains a 'grey' and a 'black' list, of which jurisdictions are assessed through peer review via a mutual evaluation exercise. Greylisting indicates that a country has deficiencies in its anti-money laundering and counter-terrorism financing (AML/CFT) frameworks, and that the country is working with the FATF to resolve these issues. Conversely, blacklisting exists as a formal sanction indicating that the country has strategic deficiencies in its AML/CFT legislation or has failed to comply with the FATF.

Greylisting may have significant ramifications on a country's economy, resulting in an inability to access international financial markets and increased scrutiny from financial institutions and regulators (Gillmar et al, 2025). Conversely, blacklisting can prompt other countries to increase their due diligence in

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monitoring their financial transactions to and from these countries. Such has been the case with Myanmar, Iran and the North Korea.

Typically, once a country has been greylisted, it is usually also added to the European Union's high-risk third countries list as well as to other countries' registers flagging the need for increased due diligence, including the UK's "high-risk jurisdictions" (Gillmar et al, 2023). While the FATF's grey list is intended to improve international security standards in the prevention of money laundering and proliferation, it also creates indirect implications on a country's long-term international financial reputation. Being listed limits the country's access to foreign direct investment and additional financial services.

Impact of Greylisting on South Africa's economy

In 2019, South Africa was subjected to an on-site visit by FATF where the country was assessed on its compliance with the organisation's recommendations. The initial report had 67 recommendations of which the country needed to take pertinent action. Most notably, state capture, money laundering risks, law enforcement, inadequate records of beneficial ownership and judicial capacity were noted as the key areas requiring corrective action. Following this, in 2021, the FATF submitted a supplementary report of which 12 shortcomings were acknowledged in South Africa's AML/CFT framework. It was noted that the country was unable to address the FATF's concerns, and that oversight would be required to combat the country's inadequate legislation.

Consequently, South Africa was given one year to address the FATF's 2021 recommendations, but in 2023, it was determined that the country demonstrated insufficient compliance with the organisation's recommendations. This notwithstanding the fact that the FATF acknowledged that South Africa had made significant progress, and the 67 actions identified in 2019 had been reduced to 15 actions (Booth et al, 2025).

Since being greylisted, however, South African president Cyril Ramaphosa has made significant attempts to address the country's financial shortcomings. Since the submission of the FATF's mutual report, president Ramaphosa's administration has submitted an action plan, while also participating in regular evaluations to assess progress. In its efforts to exit the grey list, the majority of the progress made in terms of compliance with the recommendations relates to legislative interventions.

In this regard, the South African government has passed several pieces of legislation aimed at improving the country's financial crime laws, including the General Laws (Anti-Money Laundering and Counter Terrorist Financing) Amendment Bill in December 2022 (Booth et al, 2025). Moreover, the country established what is known as the Fusion Centre – a multi-agency initiative focused on preventing and combating corruption and related financial crimes (Financial Intelligence Centre, 2022). It brings together law enforcement, investigative bodies, and prosecuting authorities to expedite investigations and prosecutions. Since its inception, the work of the Fusion Centre has

> "The process asks whether the international standards South Africa has met and achieved can deliver the economic benefits promised to its citizens"

led to the preservation and recovery of approximately ZAR 1.75 billion (GBP 73 million) in criminal assets.

The Path Ahead

As of June 2025, the FATF noted that South Africa had substantially completed all 22 action items that were contained in the Action Plan adopted when the country was initially greylisted. According to a statement by the nation's National Treasury, the decision, taken at the FATF Plenary in Strasbourg, France, noted that "South Africa's progress warranted an on-site assessment to verify that critical AML/CFT reforms had been implemented, and that the necessary political commitment remains in place to sustain progress."

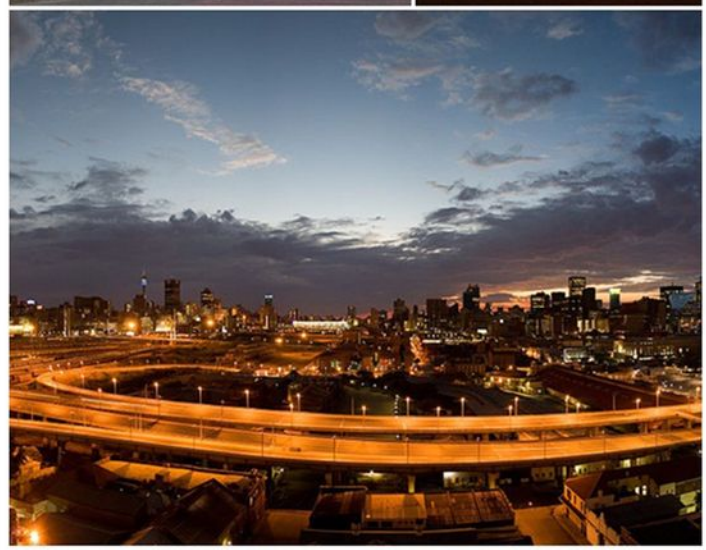
This is significant, as the completion of all 22 FATF action items represents more than bureaucratic box-ticking, signalling a fundamental reshaping of how the country monitors and controls money flows. The upcoming site visit by FATF will determine whether this technical achievement translates into operational reality. Ultimately, the most significant outcome of this process extends beyond the immediate economic relief of potential delisting, and instead asks whether the international standards South Africa has met and achieved can deliver the promised economic benefits to its citizens.

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Unseating the Greenback: BRICS+ and Rising De-Dollarisation

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Since the Bretton Woods Agreement in 1944, which established fixed exchange rates and positioned the U.S. dollar as the central pillar of the global financial system, the dollar has functioned as the de facto global reserve currency. This arrangement has supported globalisation, facilitated international trade, and underpinned macroeconomic stability.

However, this once-unquestionable supremacy of the dollar now faces growing scrutiny, particularly among developing nations. The emerging trend of de-dollarisation – led by members of the BRICS alliance (Brazil, Russia, India, China, and South Africa) – signals an inflection point in the global financial order.

De-dollarisation is not a novel concept. Questions surrounding the dollar's dominance have long been whispered in the corridors of global governance. In 2023, Brazilian President Luiz Inácio Lula da Silva questioned this very supremacy, asking: "Who was it that decided that the dollar was the currency after the disappearance of the gold standard?" (Da Silva, 2023). His rhetorical challenge reflected broader concerns within the Global South about the fundamental inequities of the current financial system.

The timing of this renewed scrutiny coincides with a resurgent wave of economic nationalism emanating from the United States. Donald Trump's return to the political spotlight – marked by heightened protectionist policies, including a proposed 50% tariff on copper among others – has raised tensions with key trading partners like Brazil. While ostensibly targeted at strategic resources, these tariffs can be interpreted as part of a wider pattern of isolationism.

Lula's response, however, has been resolute – Brazil has hinted at retaliatory tariffs and emphasized the importance of economic sovereignty. He recently remarked, "Trump was... not elected to be emperor of the world," asserting Brazil's resistance to U.S. hegemony (Da Silva, 2024).

BRICS and the Architecture of a New Financial Order

In July 2024, Lula addressed the New Development Bank (NDB) – a BRICS led financial institution – declaring that the group represents "evidence that a reformed financial architecture and a more equitable development model are possible" (New Development Bank, 2024). This sentiment reflects BRICS' ambition to recalibrate global finance in favor of a multipolar world order. Concrete steps are already underway: the group launched BRICSPay, a unified blockchain-based payment system that bypasses the SWIFT network and reduces reliance on the dollar in cross-border transactions (Siddiqui, 2024).

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Furthermore, discussions around the feasibility of a unified BRICS currency are gaining momentum. Though nascent, these initiatives reflect a growing will to assert economic independence and redefine monetary conventions.

Bilateral Trade and Currency Diversification

Beyond institutional innovation, BRICS members have begun to enact practical alternatives to dollar-based trade. Brazil and China, for instance, have agreed to conduct a significant portion of their bilateral trade using the yuan and real, sidestepping the dollar as an intermediary. By the end of 2024, the Chinese yuan had become the second-largest foreign currency in Brazil's reserves, trailing only the dollar, marking a significant shift from past norms (Banco Central do Brasil, 2024).

Such moves illustrate a deliberate effort by Brazil and Latin American nations to hedge against geopolitical volatility and economic unpredictability. While these shifts are symbolic, they also highlight tangible transformations in reserve management strategies, particularly among emerging economies that wish to insulate themselves from ad-hoc economic policies.

Risks and Realities of De-Dollarisation

Despite the growing momentum, however, the road to de-dollarisation is fraught with challenges. The U.S. dollar remains deeply entrenched in the global economy: as of 2023, it accounted for approximately 88% of all foreign exchange transactions (Bank for Internationanal Settlements, 2023).

In Brazil, the USD continues to be the primary reserve currency, even amid incremental diversification.

Replicating the durability of the dollar will be a monumental task for BRICS, particularly in attracting non-member states to adopt similar strategies. The success of Brazil's bilateral arrangements with China may serve as a useful blueprint, but its scalability remains uncertain. Moreover, internal cohesion within BRICS is not guaranteed. Diverging political interests, economic models, and foreign policy orientations pose barriers to the establishment of a cohesive alternative monetary bloc. Until these are addressed, the prospects for widespread de-dollarisation will remain limited.

Looking Ahead: A World Beyond Dollar Dominance?

While it is premature to predict the erosion of dollar hegemony, the signs of change are irrefutable. The dollar's dominance is being questioned, contested, and albeit cautiously circumvented. This transformation appears to be driven as much by geopolitical mistrust as by pragmatic economic strategy. The growing assertiveness of Brazil and its BRICS counterparts may bring about a gradual but historic rebalancing of global financial power.

Whether de-dollarisation extends beyond the BRICS framework depends on how effective these early efforts prove to be. If Brazil's diversification strategy proves resilient, it could serve as a catalyst for similar initiatives across the Global South. For now, the dollar endures – but its era of unrivalled dominance may be drawing to a close.

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